

International Investment Law

History, Rules and Procedures

The legal foundation of international investment regulation (IIR) is vast, complex and varied, across numerous substantive and procedural rules. It is laid down in close to 3,000 different international investment agreements (IIAs).¹ This network of investment treaties is complemented by two key arbitration treaties: the 1958 New York Convention for the enforcement of arbitral awards,² and the 1965 International Centre for the Settlement of Investment Disputes (ICSID) Convention,³ which provides a forum and procedural rules for investment treaty arbitration (ITA). This complex landscape thus legitimately begs the question: how have we come to this network of legal instruments, and what do they entail?

1.1 Historical Development of International Investment Law

International investment law (IIL) is a rather new subfield of international law; however, the need for foreign investment protection is not a modern phenomenon. The historical development of IIL can be followed through several stages, spanning the colonial period to modern-day globalisation.

1.1.1 *Early Development of International Protection of Foreign Investors*

Before World War II, investment was an ancillary of various commerce agreements and a feature of customary international law (CIL), while the

¹ Detailed overview of IIAs and investment dispute settlement is available at UNCTAD, *Investment Policy Hub* <<https://investmentpolicy.unctad.org>>.

² Convention on the Recognition and Enforcement of Foreign Arbitral Awards (adopted 10 June 1958, entered into force 7 June 1959) 330 UNTS 3 (New York Convention).

³ Convention on the Settlement of International Investment Disputes between States and Nationals of Other States (adopted 18 March 1965, entered into force 14 October 1966) 575 UNTS 159 (ICSID Convention).

enforcement of property protections for foreign subjects was left to gunboat diplomacy.

During the period of colonisation, Western commercial interests in colonised territories were protected under imperial laws and enforced through political and military control in the colonies. Outside colonised territories, mostly in Asia and the Far East, foreign commercial interests were guaranteed through extraterritorial application of European or American laws, ensured through treaties.⁴ Among the Western powers, the predecessors of today's investment agreements were bilateral 'treaties of friendship, commerce and navigation' (FCNs), which governed commerce relations between the United States and its trading partners. The focus of FCNs, however, was trading rights and protection of property, rather than investment protections as such. Therefore, the principal mechanisms for protection of foreign commercial interests in this era were non-legal. Protection was granted through foreigners' home State diplomatic protection, supported if necessary by military means, which were at the time recognised as legitimate in cases of breaches of international law.⁵ According to the then-dominant theory, under CIL, the property of foreign subjects was entitled to a minimum standard of treatment (MST), but the content of this standard was vague and unclear.⁶

The main opponent of the Western interpretations of CIL and the MST principles were Latin American States, which adhered to national treatment according to the Calvo doctrine. The compromise between the two opposing theories was found in the mechanism of espousal, whereby the home State would espouse the investor's claim, but only after all local remedies of the host country had been exhausted. The disagreement between the United States and Latin American countries over the MST received an additional dimension in view of the Hull Rule, which demanded 'adequate, effective and prompt' compensation for expropriation of property as an international law standard, and emerged as a response to Mexican expropriations of American oil interests in 1938.⁷

⁴ H. H. A. Van Harten, 'The Emerging System of International Investment Arbitration' (DPhil thesis, London School of Economics 2005) 31–32.

⁵ See K. J. Vandevelde, 'A Brief History of International Investment Agreements' (2005) 12 *UC Davis Journal of International Law and Policy* 157, 158–161.

⁶ A. Newcombe and L. Paradell, *Law and Practice of Investment Treaties: Standards of Treatment* (Kluwer 2009) 11–12.

⁷ *ibid* 18.

While IIL hardly had relevance for investors in the colonial period as they relied on diplomatic protection, the contours of the divide between capital-importing and capital-exporting States started to appear. The Soviet nationalisation of private property in Russia in 1917 introduced ideological divisions that would dominate the next period.

1.1.2 Post-colonial Development in International Investment Law

Following World War II and until the end of the Cold War in 1989, the development of IIL was shaped by decolonisation and the establishment of a multilateral economic framework.⁸

The decolonisation of Africa and Asia reformulated the balance of power in international relations. Former colonies, now newly independent States, believed that economic independence was an integral part of their political self-determination and were determined to gain greater control of their resources. Many embraced a socialist economic agenda, which allowed them to nationalise key sectors of their economy, expropriating existing foreign investment.⁹ Foreign capital and foreign ownership and control over the means of production were seen as a new form of colonisation, which could lead to foreign interference in domestic affairs.¹⁰ With the balance of power in the UN General Assembly, and supported by the Eastern Bloc, developing States pressed for the Declaration on the New International Economic Order (NIEO) in 1974,¹¹ which proclaimed the entitlement of each State to exercise effective control over their natural resources and all economic activities, 'including the right to nationalisation or transfer of ownership to its nationals', without specifying any obligation to pay compensation.¹² Although by nature political, these UN instruments denounced the Hull Rule as a rule of CIL, leaving the status of foreign investment in the former colonies uncertain.

While developing States embraced a State-controlled economy with the premise of nationalism, the West was heading towards economic liberalisation. International consensus on trade liberalisation was reached

⁸ Vandeveld (n 5) 161.

⁹ Newcombe and Paradell (n 6) 19.

¹⁰ Vandeveld (n 5) 166.

¹¹ Declaration on the Establishment of a New International Economic Order, UNGA Res 3201 (S-VI) (1 May 1974) UN Doc A/RES/320 (S-VI).

¹² *ibid* 4(e).

in the General Agreement on Tariffs and Trade (GATT).¹³ However, investment liberalisation posed more difficulties. The failed Havana Charter,¹⁴ which attempted to provide a legal framework for both trade and investment, indicated that IIL would be developed separately from trade. Other non-governmental initiatives that emerged at the time were equally unable to mount a consensus on a multilateral legal framework for investment.¹⁵ In the absence of a multilateral investment agreement and with uncertain CIL on investment, a new bilateral mechanism was progressively introduced to allow protection of foreign investment under international law in the volatile political and economic environments of newly formed States.

The first bilateral investment treaty (BIT) was signed between West Germany and Pakistan in 1959.¹⁶ Failing to induce a multilateral agreement, Germany introduced its own BIT programme, with other European countries soon to follow this practice. The BIT with Pakistan set out a series of rights for investors with an objective to create favourable investment conditions for the promotion of investment and encouragement of private industrial and financial prosperity. The underlying consideration was nevertheless political. Pakistan's internal instability prompted Germany to gain reassurance that its economic interests in Pakistan would be protected, while Pakistan differentiated itself from its rival India.¹⁷ The United States kept FCNs with improved investment focus until it established its own BIT programme in 1977.¹⁸

In this initial period, BITs were signed exclusively between developed and developing countries. In theory, they had reciprocal obligations and could be considered symmetrical in their legal effects. In practice, they were asymmetrical in their political and economic effects with a one-sided flow of foreign capital from developed to developing countries. This led to *de facto* asymmetrical legal effects with obligations borne by the developing countries. Bilateral investment treaties formalised the Hull

¹³ General Agreement on Tariffs and Trade (adopted 30 October 1947, entered into force 1 January 1948) 55 UNTS 194 (GATT 1947).

¹⁴ Havana Charter for an International Trade Organisation (1948) UN Doc E/CONF.2/78.

¹⁵ See Section 10.1 in Chapter 10.

¹⁶ Germany–Pakistan BIT, Treaty between the Federal Republic of Germany and Pakistan for the Promotion and Protection of Investments (with Protocol and exchange of notes) (signed 25 November 1959, entered into force 28 November 1962) 457 UNTS 24.

¹⁷ M. Parish, *Mirages of International Justice* (Edward Edgar 2011) 128.

¹⁸ A. T. Guzman, 'Why LDCs Sign Treaties That Hurt Them: Explaining the Popularity of Bilateral Investment Treaties' (1998) 38 *Virginia Journal of International Law* 639, 654.

Rule, undermining the economic independence that developing countries so fiercely and collectively promoted. However, developing countries were willing to enter into BITs individually to better compete for Western foreign investment with other developing countries. At the same time, they were unwilling to enter into a multilateral investment treaty, which would undermine their comparative advantage in attracting foreign investment obtained by signing a BIT.¹⁹

The first BITs did not provide for investor-state dispute settlement (ISDS). A conditional ISDS provision was introduced in the Netherlands–Indonesia BIT in 1968.²⁰ A year later, the Italy–Chad BIT incorporated the first unconditional ISDS clause. Investor-state dispute settlement provisions started to be included in BITs following the establishment of the International Centre for Settlement of Investment Disputes (ICSID) in 1965–1968.²¹ Under the auspices of the World Bank, ICSID was created with a view to providing a neutral forum for the settlement of disputes between investors and States, outside the ambit of influence of national laws. It was seen as an important step in placing investment protection ‘in the realm of law rather than politics’.²² However, ICSID was primarily envisaged as a forum for disputes arising from large contracts between States and foreign investors. Its focus shifted from arbitration under State contracts to treaty-based arbitration only because State contracts did not generate a sufficient number of disputes – until 1990 ICSID had only twenty-six registered cases.²³

Bilateral investment treaties provided a credible commitment to consent to private arbitration and were an important development in IIL. However, in this early period BITs were still weak instruments with imperfect dispute settlement provisions.²⁴ Their number remained modest with less than 400 agreements concluded between 1959 and

¹⁹ *ibid* 679.

²⁰ The operation of ISDS was conditional upon the host State giving consent to arbitration to ICSID: see Art. 11 Netherlands–Indonesia BIT, Netherlands and Indonesia Agreement on economic cooperation (with protocol and exchanges of letters dates on 17 June 1968) (signed 7 July 1968, entered into force 17 July 1971).

²¹ For a history of ICSID, see C. Baltag, ‘The ICSID Convention: A Successful Story – The Origins and History of the ICSID’ in C. Baltag (ed), *ICSID Convention after 50 Years: Unsettled Issues* (Kluwer 2017) 1–24.

²² Vandevelde (n 5) 175.

²³ V. Heiskanen, ‘Forbidding Dépeçage: Law Governing Investment Treaty Arbitration’ (2009) 32 *Suffolk Transnational Law Review* 367.

²⁴ See J. W. Yackee, ‘Conceptual Differences in the Empirical Study of Bilateral Investment Treaties’ (2008) 33 *Brooklyn Journal of International Law* 405.

1989. It is only the next period in the history of IIL that brought a proliferation of different instruments.

1.1.3 International Investment Law in the Post-Cold War Period: Towards International Investment Regulation

The end of the Cold War opened a new chapter in the development of IIL. With the dissolution of the Soviet Bloc, the new global political and economic order was to be based on democracy and market capitalism, as neoliberalism became the dominant creed. International investment law was to be developed on the same ideological foundation.

In the new order, the old differences – capital-exporting versus capital-importing and free market versus State-controlled economies – would diminish. The triumph of the Western political and economic idea suggested that we might have reached ‘the end of history’ – with liberal democracy and free market capitalism as the final form of human government.²⁵ The role of the State was to fundamentally change, from ownership of business enterprises to regulator with little involvement in the market. There was a dramatic rise in the number of BITs concluded because they signalled a country’s openness to foreign investment. The World Bank promoted this practice, as the access to development funds was made conditional upon signing BITs.

In parallel, a new generation of comprehensive bilateral and regional trade agreements started to emerge, encompassing trade and investment provisions to better reflect new economic realities, shaped by the economic activity of multinational and transnational companies. These global enterprises rose in numbers and size, but also in power, with the ability to influence trade by controlling foreign direct investment (FDI) flows. Their economic activity had significant impact on production, sales, services and employment in many different locations.²⁶ Their effect, however, transcends a purely economic sphere. The concept of globalisation advances the idea of a global system in which transnational corporations are dominant forces. Ultimately, they necessitate legal instruments to facilitate their cross-border operations.

²⁵ F. Fukuyama, ‘The End of History?’ (1989) 16 *The National Interest* 3.

²⁶ J. M. Kline and R. D. Ludema, ‘Building a Multilateral Framework for Investment: Comparing the Development of Trade and Investment Accords’ (1997) 6 *Transnational Corporations* 1, 20–21.

New global economic governance meant closer economic integration between countries with differing economic development. In North America, this integration was to happen in 1994 through the North American Free Trade Agreement (NAFTA), a new regional trade agreement between Canada, the United States and Mexico, while in Europe it was through the enlargement of the EU. In this global era of IIL, the distinctions of the previous era seemed to disappear, with investment agreements being concluded at all levels (bilateral, regional and plurilateral) and between any States, regardless of their economic development or geographic position. States were willing to enter into these agreements in the expectation of increased levels of investment capital inflows.²⁷ This era marked a shift from nation-State-centred IIL towards the implementation of treaties through specialised bodies and their international investment regulation.²⁸

However, while seen as instruments for attracting foreign capital, States were not fully aware of the policy implications of IIAs.²⁹ Arbitral proceedings under BITs were rare and there was no jurisprudence to indicate their practical effects. Since then, ITA has risen to over 1,200 cases as per mid-2022.³⁰

1.1.4 (Re)Politicisation of Investor-State Dispute Settlement?

The rise of ITA brought to States awareness of possible negative implications of IIAs, not only because of large monetary compensations³¹ but also increased limitations on government regulatory powers, prompting the change in the approach to investment treaties.³² The change of mood

²⁷ UNCTAD, 'Trade and Development Report 2014: Global Governance and Policy Space for Development' (2014), UNCTAD/TDR/2014, 141.

²⁸ See M. Koskenniemi, *The Politics of International Law* (Hart 2011) 318–324.

²⁹ See L. N. Skovgaard Poulsen and E. Aisbett, 'When the Claim Hits: Bilateral Investment Treaties and Bounded Rational Learning' (2013) 65 *World Politics* 273, and C. Côté, 'Is Chilling Out There? International Investment Agreements and Government Regulatory Autonomy' (2016) 16 *Academy of International Business Insights* 14.

³⁰ UNCTAD, 'International Investment Dispute Settlement Navigator' (*Investment Policy Hub*).

³¹ See, for example, *Occidental Petroleum Corporation and Occidental Exploration and Production Company v The Republic of Ecuador*, ICSID Case No. ARB/06/11, Award (5 October 2012). Ecuador was compelled to pay US\$1.8 billion (US\$2.3 billion with interest) for terminating the contract with the oil company, which was later reduced to US\$1 billion plus interest.

³² UNCTAD 2014 (n 27) 141. Other factors are also mixed results from studies on the impact of BITs on investment flows: see Section 2.1.2 in Chapter 2.

can also be linked to the Global Financial Crisis (GFC) of 2007–2008. In the age of ‘guarded globalisation’,³³ countries have become aware of the risks that come with opening markets to foreign competition, showing signs of reversion towards economic protectionism. This trend was exacerbated by American policy under the Trump administration and accelerated during the Covid-19 pandemic. Countries have been moving away from unconstrained cross-border cooperation, prioritising economic sovereignty over mutual interdependence. Russia’s invasion of Ukraine in February 2022 might well be the end of the unfettered globalisation of the last three decades.

Investment treaty arbitration was promoted as a tool for the depoliticisation of disputes involving a foreign investor and a sovereign State. It built upon instruments of international commercial arbitration, with the same aim of removing business conflicts involving States from Cold War politics.³⁴ However, while the credibility of commercial arbitration remains largely intact, there is a growing distrust in the arbitration system for matters involving public interest. Commercial diplomacy remains an important aspect of investment dispute settlement and in some cases is even more desirable than law. On the other hand, legal disputes in investment arbitration are now seen as instruments of politics in the hands of foreign investors and specialised legal experts.

Accordingly, in the age of increasing politicisation, ISDS suffers from the same ills. Heated political debate has prompted States to react, through bilateral and multilateral ISDS reforms. Next, we explain substantive and procedural rules to provide a legal framework of contemporary IIR against which the reform process will be considered. The aim is to demonstrate that issues of relevance for IIR are not exclusively matters of politics and public perception but also matters of law.

1.2 Substantive Rules of International Investment Law

International investment agreements provide a legal framework for foreign investment in the host States by including specific substantive and procedural guarantees for foreign investors. While IIL lacks a multilateral legal basis, substantive protections provided in numerous treaties are

³³ I. Bremmer, ‘The New Rules of Globalization’ (2014) 92 *Harvard Business Review* 103.

³⁴ Y. Dezalay and B. G. Garth, *Dealing in Virtue* (University of Chicago Press 1996) 311.

considerably similar.³⁵ Given the complexity of substantive protections, we limit this discussion to key guarantees provided to foreign investors in IIAs and their interpretation by investment tribunals. Recent trends of States in improving substantive protection provisions are also noted. The discussion is not meant to be exhaustive but rather functional to the examination of relevant legal issues, with focus placed on the most contentious and systemic issues.

1.2.1 *Protection against Expropriation*

International law duly protects foreign property against expropriation. However, this concept has always been the subject of controversy. On the one hand, expropriation of private property is an exercise of State sovereignty. On the other hand, private property is an inalienable individual right.³⁶ As discussed, in the second half of the twentieth century, the debate was centred on divergent views between developed and developing countries regarding the standard of compensation for 'direct' expropriation of property that was nationalised. With the proliferation of IIAs at the end of twentieth century, full compensation for expropriation has become an accepted standard. The debate has since shifted toward the issue of what constitutes expropriation, especially in situations other than the classical category of nationalisation, and the impact of the concept of expropriation on regulatory powers of the State for the protection of health, safety, environment and other legitimate public policy goals.

There are two types of expropriation. 'Direct' or *de iure* expropriation results in the transfer of title to foreign property or its physical possession, with permanent deprivation of property. 'Indirect' or *de facto* expropriation refers to government measures without formal transfer of title, which interfere with exercise of property rights, leading to effective loss of control or significant depreciation of property value.³⁷ Such measures are also described as measures 'tantamount' or 'equivalent' to

³⁵ See M. F. Houde and K. Yannaca-Small, 'Relationships between International Investment Agreements' (OECD Publishing 2004) Annex III.

³⁶ M. Raff, *Private Property and Environmental Responsibility: A Comparative Study of German Real Property Law* (Kluwer 2003) 165–166.

³⁷ UNCTAD, 'International Investment Agreements: Key Issues' (2004), UNCTAD/ITE/IIT/2004/10 (Vol. I) 236.

expropriation or nationalisation.³⁸ While the first category, well recognised and prohibited in international law, has become more rare, the significance of the second category has greatly increased through jurisprudence of investment tribunals.³⁹

States generally have a right to expropriate, but this right is limited by fulfilment of certain conditions in order for the expropriation to be legal. These conditions include: the public interest purpose of the measure; absence of discrimination; due process of law; and payment of *prompt, adequate and effective* compensation.⁴⁰ German BITs refer only to public purpose and compensation requirements but require that the legality of a measure and the amount of compensation be subject to review by due process of law.⁴¹ Therefore, even in the cases when expropriation is legal, treaties require the payment of compensation, usually in the amount of 'fair market value'. Only exceptionally can compensation be excluded, and that is in cases which fall within the police powers doctrine.⁴² In practice, this leads to an unsatisfactory 'all or nothing approach', where the essential question becomes not whether expropriation was lawful or unlawful but whether or not it has occurred.⁴³ If expropriation happened, it will trigger the liability of the State to pay full indemnification to the affected investor.⁴⁴ If the expropriation did not happen, the investor

³⁸ *Técnicas Medioambientales Tecmed, S.A. v The United Mexican States*, ICSID Case No. ARB (AF)/00/2, Award (29 May 2003) para. 114.

³⁹ M. W. Reisman and R. D. Sloane, 'Indirect Expropriation and Its Valuation in the BIT' (2004) *Yale Law School Faculty Scholarship Series*, Paper 1002, 118–119.

⁴⁰ See, for example, Art. 13(1) Energy Charter Treaty (adopted 17 December 1994, entered into force 16 April 1998) 2080 UNTS 100 (ECT); Art. 6 US Model BIT (2012); Art. 1110 North American Free Trade Agreement (adopted 17 September 1992, entered into force 1 January 1994) (NAFTA); Art. 8.12 Comprehensive Economic and Trade Agreement between Canada, of the one part, and the European Union and its Member States, of the other part [2014] OJ L11/23 (CETA) (emphasis added).

⁴¹ R. Dolzer and Y. Kim, 'Germany' in C. Brown (ed), *Commentaries on Selected Model Investment Treaties* (OUP 2013) 309–310.

⁴² *Philip Morris Brands Sàrl, Philip Morris Products SA and Abal Hermanos SA Oriental v Republic of Uruguay*, ICSID Case No. Arb/10/7, Award (8 July 2016) paras. 188, 295.

⁴³ U. Kriebaum, 'Regulatory Takings: Balancing the Interests of the Investor and the State' (2007) 8 *The Journal of World Investment and Trade* 717, 719–720.

⁴⁴ The difference between lawful and unlawful expropriation is in the payment of compensation or damages, with unlawful expropriation requiring *restitutio in integrum*: *Case Concerning the Factory at Chorzów (Germany v Poland)*, [1928] PCIJ Rep Series A No. 17; *ADC Affiliate Limited and ADC & ADMC Management Limited v The Republic of Hungary*, ICSID Case No. ARB/03/16, Award (2 October 2006) paras. 484–494 and cases cited within.

alone will bear the full economic damage to his investment caused by a regulatory measure.

The greatest difficulty in the context of protection against expropriation is, thus, determining the line between a non-compensable regulatory measure and compensable indirect expropriation. While the majority of treaties offer limited guidance in this regard, arbitral tribunals have developed a number of criteria relevant for the determination of expropriation on a case-by-case basis, but offering only limited predictability, as their positions in regard to the relevance of facts in the exercise of tribunals' judgment vary from case to case.⁴⁵ In general, tribunals have focused on the extent, severity and duration of the impact of a regulatory measure on the investment as decisive elements in determining whether expropriation took place.

For expropriation to be found, the effect of the measure must result in 'substantial deprivation' of the investor's property interests: of relevance is whether the particular interference with business activities was 'sufficiently restrictive to support the conclusion that the property has been "taken" from the owner';⁴⁶ that is, 'ousting the investor from full ownership and control of [the] investment'.⁴⁷ Tribunals also examine the effect of the measure on the economic value of investment – for expropriation to be established, the effects of the measure must result in 'depriving the owner in whole or in significant part of the use or reasonably-to-be-expected economic benefit of the property';⁴⁸ in other words, depriving the investor in whole or in part of its investment where 'the loss of value is such that it can be considered equivalent to a deprivation of property'.⁴⁹ Depending on the context and circumstances, deprivation can amount to an expropriation even if it was 'partial and temporary', but it will usually have to amount to 'a lasting removal of the ability of an owner to make use of its economic rights'.⁵⁰ The difficulty lies in

⁴⁵ The challenge of predictability was expressed by the Tribunal in *Generation Ukraine, Inc. v Ukraine*, ICSID Case No. ARB/00/9, Award (16 September 2003) para. 20.29.

⁴⁶ *Pope & Talbot Inc. v The Government of Canada*, UNCITRAL, Interim Award (26 June 2000) para. 102.

⁴⁷ *ibid* para. 100.

⁴⁸ *Metalclad Corp v United Mexican States*, ICSID Case No. ARB (AF)/97/1, Award (30 August 2000) para. 103. See also *CME Czech Republic B.V. v The Czech Republic*, Final Award (14 March 2003) paras. 591, 604–608.

⁴⁹ *Charanne B.V. v Spain*, SCC Arb. No. 062/2012, Final Award (21 January 2016) para. 465.

⁵⁰ *S. D. Myers, Inc. v Government of Canada*, Partial Award (13 November 2000) para. 283. In this case the Tribunal did not find that the Canadian government measure, which

determining what constitutes ‘substantial deprivation’, which is a ‘fact-sensitive assessment’ and ‘cannot be conducted on the basis of rigid binary rules’, thus indicating that the assessment is qualitative rather than quantitative.⁵¹

While there is no doubt that the gravity of the effects of a government measure on an investment should be a significant factor in determining expropriation, it is more controversial whether it should be the *only* relevant criterion, which is the approach reflecting the ‘sole effect’ doctrine. Such an approach disregards the purpose of the government measure, which can entail an important public interest. In some cases where the sole effect doctrine has been applied, tribunals have explicitly stated that motivations behind the State measure play no role in determining expropriation.⁵² The diametrically opposite approach is the one that applies the ‘police powers’ doctrine: the principle that the State’s reasonable *bona fide* exercise of police powers in matters of public order, health or morality excludes compensation even when it causes economic damage to an investor, and thus as it is not considered expropriation, does not give rise to *any* compensation.⁵³

The criteria for determining when a government measure will not be considered expropriation include ‘non-discriminatory regulation’, made for a ‘public purpose’, which is ‘enacted with due process’ and does not involve any ‘specific commitments’ that the government would refrain from such regulation given by the government to the putative investor.⁵⁴ Such regulation must be made in good faith and in the ‘normal exercise’ of the State’s regulatory powers.⁵⁵ However, the mentioned criteria for determining whether an expropriation occurred significantly overlap with the criteria for determining lawful expropriation when expropriation has occurred, and which requires payment of compensation.

consisted in a temporary closure of the border for a duration of eighteen months, amounted to expropriation.

⁵¹ *Chemtura Corporation v Government of Canada* (formerly *Crompton Corporation v Government of Canada*), Award (2 August 2010) para. 249.

⁵² For example, in *Metalclad* (n 48) para. 111; *Tippetts v Iran* (1986) 6 Iran-US Cl Trib Rep 219, 225–226.

⁵³ *Philip Morris* (n 42) paras. 188, 295 (emphasis added). However, it is also significant to note that, in coming to this conclusion, the Tribunal first examined the effects of the challenged legislation on the value of investment, establishing that ‘sufficient value’ remained after the measures have been implemented: para. 286.

⁵⁴ *Methanex Corporation v United States of America*, Final Award of the Tribunal on Jurisdiction and Merits (3 August 2005) part IV, ch. D, para. 7.

⁵⁵ *Saluka Investments B.V. v The Czech Republic*, Partial Award (17 March 2006) para. 255.

In addition, it remains unclear what regulations would be permissible as falling within the police powers doctrine, effectively leaving to investment tribunals in each particular case to answer the question ‘*when, how and at what point*’ a regulation becomes, ‘*in fact and effect*’, an (un)lawful expropriation, which requires the payment of compensation or damages.⁵⁶ In some cases, when characterising a measure as within a State’s police power, tribunals have shown a willingness to accept ‘scientific consensus on public health issues’ and a State’s international obligations in regard to a particular measure, while allowing for ‘substantial deference’ to decision-making of specialised national authorities in assessing the necessity of the measure.⁵⁷

Seeking a middle way between the sole effect and police powers doctrines, tribunals attempted to apply a more balanced approach by taking into consideration the effects of the measure on the investor as well as the purpose of the measure. However, although recognising that it is appropriate for tribunals to examine the ‘purpose and effect of a government measure’, the tribunals effectively still focus on the measure’s effect, and not its purpose.⁵⁸ In the equation, a relevant factor in determining expropriation is also the investor’s reasonable ‘investment-backed expectations’, involving consideration of the governmental interference ‘in light of the investor’s chosen business model, the nature of the enterprise, the regulatory regime in place at the time of investment, and associated expectations’.⁵⁹ However, this approach also proceeds from examination, first, of the effects of the measure before considering the balancing process.

In some cases, tribunals resorted to the proportionality test to establish whether expropriation took place, examining the measure undertaken by government in light of the protected public interest and the legally granted investment protection. However, in this exercise the tribunals also prioritised the significance of a measure’s impact on investment as a key element for assessing proportionality.⁶⁰ While the proportionality approach in this context has been inspired by the jurisprudence of the

⁵⁶ This quote is adopted from *Saluka* (ibid) paras. 263–264.

⁵⁷ *Philip Morris* (n 42) paras. 95, 418–419; *Chemtura* (n 51) paras. 134–138.

⁵⁸ *S. D. Myers* (n 50) paras. 281–282; *Marvin Roy Feldman Karpa v United Mexican States*, ICSID Case No. ARB(AF)/99/1, Award (16 December 2002) paras. 110–111.

⁵⁹ *Fireman’s Fund Insurance Company v The United Mexican States*, ICSID Case No. ARB(AF)/02/1, Award (17 July 2006) para. 176.

⁶⁰ *Tecmed* (n 38) para. 122.

European Court of Human Rights (ECtHR),⁶¹ it has been applied differently; it is used for determining whether expropriation occurred, and not whether it achieved a fair balance between protection of private and public rights after establishing that lawful expropriation occurred, which can lead to compensation below market value.⁶²

Based on the controversies noted in the jurisprudence, more recent IIAs have attempted to strike a balance between compensable and non-compensable regulatory measures by providing a clarification of what constitutes indirect expropriation, or by providing guidance in regard to criteria which should be used when assessing indirect expropriation.⁶³ While giving more clarity in defining the concept of indirect expropriation, this approach mainly codifies the middle way already adopted by arbitral tribunals.⁶⁴

1.2.2 *Fair and Equitable Treatment*

Another key substantive protection afforded in IIAs is the right to fair and equitable treatment (FET). Due to its divergent formulation and breadth, FET has been widely used by investors as a catch-all provision. Investors have relied upon it in cases when their claims have not been covered by more specific protection clauses.⁶⁵ While difficult to be defined precisely, FET is understood as

[g]overnment according to the rule of law that establishes basic substantive and procedural rights concerning the stability and predictability of the legal framework; consistency of the host State's decision making; the protection of investor confidence or "legitimate expectations"; procedural

⁶¹ *ibid* para. 122.

⁶² Kriebaum (n 43) 730.

⁶³ See for example, the US Model BIT 2012 in Annex B, Arts. 4(b) and 4(a) respectively. See also Section 8.2.1.2 in Chapter 8 for EU practice.

⁶⁴ The new US–Mexico–Canada Trade Agreement (signed 30 November 2018, entered into force 1 July 2020) (USMCA) limits the scope of ISDS clauses to direct expropriation only: Art. 14.D.3(1), with the exception of covered government contracts in Annex 15-E, whereby ISDS remains available for both direct and indirect expropriation: see Annex 14-E, Arts. 2(a)(i) and (b)(i).

⁶⁵ *PSEG Global, Inc., The North American Coal Corporation, and Konya Ingin Elektrik Üretim ve Ticaret Limited Sirketi v Republic of Turkey*, ICSID Case No. ARB/02/5, Award (19 January 2007) para. 238. Comparison could be made with civil law codes, which include a number of specific clauses, but also a general clause of duty to act in good faith, as a catch-all provision.

due process and the prohibition of denial-of-justice; protection against discrimination and arbitrariness; and the requirement of transparency.⁶⁶

International investment agreements refer to these elements differently in their formulation of the FET standard. For example, German BITs include the FET standard as an autonomous obligation, stipulating that investors will be accorded the 'fair and equitable standard and full protection', without specifying the content of the standard, and without reference to international law. The Energy Charter Treaty (ECT) clarifies that FET treatment in any case shall not be 'less favourable than the treatment required under international law'.⁶⁷ US BITs identify FET standard as a standard of protection in accordance with international law.⁶⁸ These different formulations have thus raised the issue of how the standard is to be measured: as an MST of aliens under CIL or as an unqualified concept. The difference is significant as the former position sets a much higher threshold of liability for States than the latter one, which is thus more favourable to investors.

Depending on the treaty in question, tribunals have approached this issue differently, with many observing that the FET standard is not the same as an MST but it is still a standard which has to be determined by reference to international law, part of which is CIL.⁶⁹ The issue has been most prominent in the context of NAFTA, where the Contracting States, being dissatisfied with tribunals' interpretations of the FET standard beyond the MST, issued a binding interpretation.⁷⁰ Despite the initial resistance,⁷¹ tribunals have generally accepted that the NAFTA FET standard reflects the MST under CIL, which has nevertheless evolved over time,⁷² protecting 'against all such acts or behaviour that might infringe a sense of fairness, equity and reasonableness'.⁷³ It has been

⁶⁶ C. N. Brower and S. W. Schill, 'Is Arbitration a Threat or a Boon to the Legitimacy of International Investment Law' (2009) 9 *Chicago Journal of International Law* 471, 487.

⁶⁷ Moreover, the FET standard of treatment in the ECT is higher than under CIL: see Art. 10(1) ECT.

⁶⁸ Art. 5 US Model BIT 2012.

⁶⁹ *Philip Morris* (n 42) paras. 316–317; *Tecmed* (n 38) para. 155; *Saluka* (n 55) para. 294.

⁷⁰ Provision B, NAFTA Free Trade Commission, 'Notes of Interpretation of Certain Chapter 11 Provisions' (31 July 2001).

⁷¹ See *Pope & Talbot* (n 46) Award in Respect of Damages (31 May 2002) para. 47; Award on the Merits of Phase 2 (10 April 2001) para. 110.

⁷² *Mondev International Ltd. v United States of America*, ICSID Case No. ARB(AF)/99/2, Award (11 October 2002) para. 116; *Chemtura* (n 51) paras. 121–122.

⁷³ *Merrill and Ring Forestry L.P. v Canada*, ICSID Case No. UNCT/07/1, Award (31 March 2010) para. 210.

argued that in the NAFTA context tribunals have generally interpreted the FET standard as being comprised of a limited number of defined elements (e.g. denial of justice, failure to protect full protection and security, etc.),⁷⁴ which have been interpreted by tribunals in ‘greatly varying ways’ but have not been equated with more abstract notions of justice or the rule of law.⁷⁵ Importantly, the MST under CIL is a general obligation under international law, which applies to inter-State relations regardless of a treaty. Tribunals’ divergent approaches to the interpretation of MST can lead to fragmentation of international law, and arguably are contrary to *opinio iuris*.⁷⁶

The duty to accord FET treatment expands to the overall treatment of investors by the host State, whereby all kinds of government actions, whether legislative, administrative or judicial, can potentially be in breach of the FET standard.⁷⁷ The FET standard entails an obligation to provide stability and predictability of the legal and business framework in which the investment has been made.⁷⁸ This obligation corresponds to an investor’s legitimate expectations, which is one of the most important concepts of the FET standard. However, legal stability is not absolute and does not exclude the State’s sovereign authority to legislate and to adapt its legal system to changing circumstances.⁷⁹ Such ‘virtual freezing of the legal regulation of economic activities’ would be contrary to ‘the State’s normal regulatory power and the evolutionary character of economic life’ and would not be ‘legitimate nor reasonable’.⁸⁰

Accordingly, some tribunals have claimed that unless the State made *specific* promises or representations to the investor, the investor cannot treat a BIT as an ‘insurance policy against the risk of any changes in the

⁷⁴ See Chapter 8 for influence of NAFTA jurisprudence on the EU’s FET standard.

⁷⁵ See, for example, *Apotex Holdings Inc. and Apotex Inc. v United States of America*, ICSID Case No. ARB(AF)/12/1, Award (25 August 2014) paras. 9.41–9.47.

⁷⁶ Accordingly, the *Mondev* tribunal applied the NAFTA Free Trade Commission statement on the basis that the MST now incorporates heightened MST: *Mondev* (n 72) para. 125. Such an approach is basically in contradiction with the NAFTA Free Trade Commission Notes of Interpretation.

⁷⁷ UNCTAD, ‘Fair and Equitable Treatment’ (2012) Issues in International Investment Agreements (Second series), UNCTAD/DIAE/IA/2011/5, 12.

⁷⁸ *Occidental Exploration and Production Company v The Republic of Ecuador*, LCIA Case No. UN3467, Final Award (1 July 2004) para. 191; *EDF (Services) Limited v Romania*, ICSID Case No. ARB/05/13, Award (8 October 2009) para. 217.

⁷⁹ *Philip Morris* (n 42) para. 422; *BG Group v Argentina*, UNCITRAL, Final Award (24 December 2007) paras. 292–310.

⁸⁰ *EDF* (n 78) para. 217.

host State's legal and economic framework'.⁸¹ However, in the exercise of its legislative power, a State cannot act 'unfairly, unreasonably or inequitably'.⁸² In other words, regulatory change cannot be arbitrary, which includes 'wilful disregard of due process of law, an act which shocks, or at least surprises, a sense of judicial propriety' and which is therefore 'opposed to the rule of law'.⁸³ A foreign investor whose interests are protected under an investment treaty is entitled to expect that the State will not act in a way that is 'manifestly inconsistent' and 'unreasonable'.⁸⁴ Closely related to the arbitrariness is also the obligation of the host State to act in good faith,⁸⁵ which includes the duty not to act for 'purely arbitrary reasons' related to domestic politics and 'nationalistic reasons of a discriminatory character'.⁸⁶ Ultimately, the FET standard requires weighing of the investor's legitimate and reasonable expectations on the one hand and the State's legitimate regulatory interests on the other.⁸⁷ However, reasonableness rather than proportionality is still the more commonly applied principle in review of government conduct under the FET standard.⁸⁸

The minimalist wording of FET clauses, indeterminacy of the State's liability threshold and the lack of clear legal test for the standard leaves for arbitrators a wide discretion in the interpretation of FET provisions, resulting in inconsistent application and allowing tribunals to review a range of government actions which were previously seen as outside of the scope of international law.⁸⁹ In practice, this has led to the establishment

⁸¹ *ibid.*

⁸² *Parkerings-Compagniet AS v Republic of Lithuania*, ICSID Case No. ARB/05/8, Award (11 September 2007) para. 332.

⁸³ *Elettronica Sicula S.p.A. (ELSI) (United States of America v Italy)* (Judgment) [1989] ICJ Rep 15, para. 128.

⁸⁴ *Saluka* (n 55) para. 309.

⁸⁵ *Waste Management, Inc. v United Mexican States ("Number 2")*, ICSID Case No. ARB (AF)/00/3, Award (30 April 2004) para. 138.

⁸⁶ *Eureko B.V. v Republic of Poland*, Partial Award (19 August 2005) para. 233.

⁸⁷ *Saluka* (n 55) para. 306.

⁸⁸ J. Bonnitche, *Substantive Protection under Investment Treaties: A Legal and Economic Analysis* (CUP 2014) 224. To add to rich divergent practice, the Tribunal in *Blusun v Italy* concluded that legality of regulatory changes in the absence of specific representation must be assessed on the basis of proportionality and not 'unreasonableness', which can be criticised as 'an open-ended mandate to second-guess the host State's policies'. On the contrary, 'disproportionality carries in-built limitations and is more determinate': *Blusun S.A., Jean-Pierre Lecorcier and Michael Stein v Italian Republic*, ICSID Case No. ARB/14/3, Final Award (27 December 2017) para. 318.

⁸⁹ UNCTAD 2012 (n 77) 11–13, 22.

of breaches in very broad categories of State regulatory actions, such as tariff regulations, conduct of negotiations, organisation of tenders and communication between State and investor. Therefore, FET raises the same issues of balancing investment protections with the State's right to regulate in the public interest as indirect expropriation. Additionally, different approaches to the FET standard pose a significant challenge for States in the practical implementation of the standard domestically – between different branches and different levels of government – as it becomes difficult to predict what kind of specific conduct could lead to breach of the FET standard.

In order to overcome some of the problems noted to arise from this jurisprudence, the US Model BIT 2012 provides explanations of concepts of FET and 'full protection and security',⁹⁰ while also defining CIL.⁹¹ The US–Mexico–Canada (USMCA) Trade Agreement goes even further in limiting FET.⁹² European Union agreements also provide more detailed FET language.⁹³ However, it remains to be seen whether more clarity in the expression of the FET standard results in more certainty.

1.2.3 *Protection against Discrimination*

Protection against discrimination in IIL is provided through national treatment (NT) and most-favoured-nation treatment (MFN) and it is also included in the concept of FET.⁹⁴ Unlike FET, which is an absolute standard, NT and MFN are relative standards, whose meaning is defined by reference to the treatment afforded to other investments. While the principle of NT aims to accord to foreign investors the same treatment as that granted to domestic investors, the MFN standard affords foreign investors the treatment comparable to other foreign investors operating in the host country.

⁹⁰ Art. 5(2) US Model BIT 2012.

⁹¹ *ibid* Annex A.

⁹² In Art. 14.6 the USMCA prescribes the obligation of treatment in accordance with CIL, including FET (limited to denial of justice in criminal, civil or administrative proceedings and due process) and full protection and security (the level of police protection under CIL). The mere fact that an investor's expectations have not been met does not constitute the breach, even if there is consequent loss or damage to the covered investment. Breach of FET treatment is excluded from the scope of ISDS clauses in Annex 14-D but not from the ISDS scope of covered government contracts in limited sectors, in accordance with Annex 14-E.

⁹³ See Section 8.2.1.3 in Chapter 8.

⁹⁴ *Saluka* (n 55) para. 309; *Waste Management* (n 85) para. 98.

International investment agreements offer different formulations of NT and MFN in one combined or separate clauses, most commonly requiring treatment ‘no less favourable’ than that accorded to national⁹⁵ or other foreign investors⁹⁶ respectively, with or without qualification ‘in like circumstances’.⁹⁷ In the European type of BITs, NT and MFN are guaranteed only in the post-establishment stage of investment, while in the US BITs and regional agreements these treatments are also extended to the pre-entry stage.⁹⁸ Additionally, the application of the NT and MFN clauses can be limited by providing a list of categories of investment or activities to which these standards apply (positive list approach) or from the application of which they are excluded (negative list approach). Further, treaties can offer a number of more general exceptions relating to public health, order and national security, which apply not only to NT and MFN but the whole of the treaty.⁹⁹ In the case of a conflict between NT and MFN standards, treaties sometimes prescribe that the standard most favourable to investors applies.¹⁰⁰

Another notable issue is the application of NT and MFN standards in regard to subnational authorities which can accord preferential treatment to businesses at local level, and especially when such authorities have a constitutional power to make investment policy. In the case of the United States, such treatment would not extend to domestic investors outside of a particular local subdivision, thus also preventing foreign investors from invoking it.¹⁰¹ Under Comprehensive Economic and Trade Agreement (CETA), full NT and MFN standards apply to all levels, sub-federal in Canada, and EU Member States and sub-EU Member States levels in the

⁹⁵ Art. 3(1) German Model BIT (2008); Art. 3 US Model BIT 2012; Art. 8.6 CETA.

⁹⁶ Art. 3(2) German Model BIT 2008; Art. 4 US Model BIT 2012; Art. 8.7 CETA.

⁹⁷ Although this is found in NAFTA and the US Model BIT 2012, as well as CETA, there is no such formulation in German BITs, which thus arguably offer the widest scope for comparison.

⁹⁸ See Section 2.1.2 in Chapter 2 for further discussion. CETA is an exception in this regard as it follows the North American model.

⁹⁹ See, for example, Art. 24 ECT; Art. 18(2) US Model BIT 2012; Art. 28.3 CETA. In German BITs, such general exception is given in the context of Art. 3 which defines NT and MFN standards.

¹⁰⁰ Art. 10(7) ECT.

¹⁰¹ See, for example, USA–Croatia BIT (signed 13 July 1996, entered into force 20 June 2001).

EU.¹⁰² The ECT provides for similar broad extension of specific subnational treatment to foreign investors.¹⁰³

In the practice of arbitral tribunals regarding NT, the most prominent issue is the scope of comparable activities between national and foreign investors, and, in this regard, the relevance of World Trade Organization (WTO) jurisprudence in the interpretation of BITs. In some cases, tribunals take into consideration the same economic or business sector,¹⁰⁴ while in others the examination can be broader, outside the particular sector.¹⁰⁵ Some tribunals accepted the WTO jurisprudence of 'like products' for interpretation of BITs,¹⁰⁶ while others explicitly rejected the notion of NT under WTO law, which interprets 'like products' in light of the objective of avoiding the distortion of competition.¹⁰⁷ These tribunals embraced the view that BITs address 'like situations' with a different aim, which is to avoid exporters being placed at a disadvantage in foreign markets.¹⁰⁸

In assessing 'like circumstances', tribunals take into account 'circumstances that would justify governmental regulations that treat [domestic and foreign investors] differently in order to protect the public interest'.¹⁰⁹ Differences in treatment will not violate the NT standard if they have 'a reasonable nexus to rational policies' that do not distinguish between domestic and foreign investors, and do not otherwise unduly undermine 'the investment liberalising objectives', focusing on the regulatory context.¹¹⁰ In assessing the measure, tribunals examine both *de iure*¹¹¹ and *de facto*¹¹² discrimination, whereby the protectionist intent of the host State is less relevant than the practical effect of the measure.¹¹³ The latter line of reasoning corresponds with the WTO approach.

¹⁰² Arts. 8.6.2 and 8.7.2 CETA. In practice, this application of NT could lead to a potentially more advantageous treatment of Canadian investors than domestic investors in a particular EU Member State: see Section 8.2.1.4 in Chapter 8.

¹⁰³ Art. 23(1) ECT.

¹⁰⁴ *Marvin Feldman* (n 58) para. 172; *S. D. Myers* (n 50) para. 248.

¹⁰⁵ *Occidental* (n 78) para. 173.

¹⁰⁶ *S. D. Myers* (n 50) paras. 244–247; *Marvin Feldman* (n 58) para. 165.

¹⁰⁷ Report of the Appellate Body of 18 January 1999, *Korea – Taxes on Alcoholic Beverages*, WT/DS75/AB/R, para. 118, referenced in *Occidental* (n 78) para. 174.

¹⁰⁸ *ibid* para. 176.

¹⁰⁹ *S. D. Myers* (n 50) para. 249.

¹¹⁰ *Pope & Talbot* (n 46) Award on the Merits of Phase 2, para. 78.

¹¹¹ *S. D. Myers* (n 50) para. 252.

¹¹² *ibid*; *Marvin Feldman* (n 58) para. 173.

¹¹³ *S. D. Myers* (n 50) para. 254; *Marvin Feldman* (n 58) para. 183; *Pope & Talbot* (n 46) Award on the Merits of Phase 2, para. 78; *Siemens A.G. v The Argentine Republic*, ICSID

However, the 'rational nexus' test adopted by investment tribunals differs from the WTO closed list of policy objectives in GATT Article XX, which applies a stricter 'necessity test' between the measure and the policy purpose.¹¹⁴ This dual approach to the same standard in trade and investment law contributes to further fragmentation of international law. Different aims of trade and investment law are moreover less justified in cases of IIAs which have investment liberalisation at the forefront of their objectives.¹¹⁵

Similarly, MFN clauses also leave wide scope for competing interpretations. Usually, foreign investors use such clauses to import certain standards of protection, whether substantive or procedural, from other IIAs (third party treaties), which are unavailable in the basic treaty directly applicable in their case. The International Law Commission (ILC) adopted the *ejusdem generis* principle in the application of the MFN clause, whereby MFN from a third party treaty can apply to a basic treaty only in relation to the same subject matter of the same category (*idem genus*).¹¹⁶ While this rule seems straightforward, its practical application in tribunals' jurisprudence has proved to be challenging. Some tribunals have resorted to a broader interpretation of the clause, allowing for incorporation of both substantive and procedural protections non-existent in the basic treaty,¹¹⁷ while others have restricted such incorporation to substantive protections only.¹¹⁸ In order to avoid uncertainties, recent IIAs contain MFN clauses which expressly exclude from their application substantive and procedural obligations provided for under other IIAs.¹¹⁹

Case No. ARB/02/8, Award (17 January 2007) para. 320. However, discriminatory intent was required by the *Methanex* (n 54) Tribunal: part IV, ch. B, para. 12.

¹¹⁴ N. DiMascio and J. Pauwelyn, 'Nondiscrimination in Trade and Investment Treaties: Worlds Apart or Two Sides of the Same Coin?' (2008) 102 *The American Journal of International Law* 48, 76–77.

¹¹⁵ See Section 2.1.2 in Chapter 2.

¹¹⁶ ILC Draft Arts. 9 and 10 with Commentary, ILC, 'Report of the International Law Commission to the General Assembly on the Work of Its Thirtieth Session' (1978) UN Doc A/33/10.

¹¹⁷ For example, *Siemens* (n 113), Decision on Jurisdiction (3 August 2004) para. 103; *Emilio Agustín Maffezini v The Kingdom of Spain*, ICSID Case No. ARB/97/7, Decision of the Tribunal on Objections to Jurisdiction (28 October 1999) para. 56.

¹¹⁸ *Plama Consortium Limited v Republic of Bulgaria*, ICSID Case No. ARB/03/24, Decision on Jurisdiction (8 February 2005) para. 218.

¹¹⁹ For example, Art. 8.7.4 CETA; Art. 14.D.3(1)(a)(i)(A) fn 22 USMCA.

The standards of NT and MFN together serve to maintain a level playing field between foreign and domestic investors in a host State's investment market. However, special protections that can be given to foreign companies through IIAs, as opposed to domestic companies, can reverse the principle of national treatment by discriminating against domestic companies. Additionally, foreign investors may, depending on the circumstances, resort to a more favourable treatment accorded to other foreign investors, which might be contrary to the original intentions of the host State. Ultimately, whether and what kind of a level playing field is achieved in a particular market will depend on the interpretation and application of the relevant NT and MFN provisions in each individual case.

1.2.4 *Free Transfer of Capital*

International investment agreements generally provide for free transfer of capital in a separate, usually very specific clause.¹²⁰ Free transfer provisions usually contain a broad guarantee for free transfer of payments related to an investment, often listing in a non-exhaustive manner types of funds which can be transferred,¹²¹ the currency and exchange rate for the transfer¹²² and the time period in which free transfer is guaranteed to investors.¹²³ Usually, free transfer clauses will be restricted by a number of exceptions, which allow States 'equitable, non-discriminatory, and good faith application of its laws and regulations' generally aimed at prevention of abuses of justice.¹²⁴

Provisions concerning the free transfer of capital have not had great relevance in the practice of investment tribunals.¹²⁵ The recent more restrictive trend in drafting these clauses recognises the need of States to adopt extraordinary regimes for extraordinary times, which is certainly a well-learned lesson of the GFC and the Euro crisis.¹²⁶

¹²⁰ Art. 5 German Model BIT 2008; Art. 7 US Model BIT 2012; Art. 14 ECT; Art. 8.13 CETA.

¹²¹ Art. 7(1) US Model BIT 2012; Similarly, see Art. 14.9(1) USMCA.

¹²² Art. 14.9(2) USMCA.

¹²³ Art. 5(2) German Model BIT 2008.

¹²⁴ Art. 14(4) ECT; Art. 8.13.4 CETA; Art. 14.9(5) USMCA. German BITs are an exception in this regard as they guarantee free transfer without any restrictions.

¹²⁵ For current practice, see for example *Metalpar S.A. and Buen Aire S.A. v The Argentine Republic*, ICSID Case No. ARB/03/5, Award (6 June 2008).

¹²⁶ For EU IIA practice, see Section 8.1.1.1 in Chapter 8.

1.3 Procedural Rules of International Investment Law

Most commonly, modern IIAs offer to investors the choice of ITA, granting them specific procedural rights and remedies as the most important component of IIAs.¹²⁷ In international law the participation of sovereign States in dispute resolution generally depends on their consent, which in IIL is given through IIAs.¹²⁸ Investment treaties incorporate in their ISDS clauses an offer to arbitrate, extended by the host State to an undefined number of current and future investors of the other Contracting Party for all future disputes arising out of investments made in its territory. It is for the eligible investor to accept this standing offer by correctly initiating the proceedings against the host State in accordance with the requirements defined in the treaty's ISDS clause, at which stage the arbitration contract is perfected. Through offer and acceptance both parties express their mutual consent to arbitration,¹²⁹ which is the precondition for jurisdiction of the arbitral tribunal.¹³⁰ This unusual arbitration contract in investment disputes, commissioned through an international treaty, gives IIL its public-private nature.

However, ISDS is a rather generic term which encompasses a number of different mechanisms.¹³¹ It is exactly with regard to the regulation of the dispute settlement clauses that IIAs differ most. The following sections provide an overview of procedural issues stemming from IIAs and practice.¹³² The aim is to explain the procedural framework in which

¹²⁷ This has been recognised both in scholarly literature and in the practice of international tribunals. See, for example, *Emilio Maffezini* (n 117) Decision of the Tribunal on Objections to Jurisdiction, para. 55; *Gas Natural SDG S.A. v Argentine Republic* (ICSID Case No. ARB/03/10) Decision of the Tribunal on Preliminary Questions on Jurisdiction (17 June 2005) para. 29.

¹²⁸ See, for example, Art. 26(3)(a) ECT; Art. 10(2) German Model BIT 2008; Art. 24 US Model BIT 2012; Art. 8.18.1 CETA.

¹²⁹ *El Paso Energy International Company v Argentine Republic*, ICSID Case No. ARB/03/15, Decision on Jurisdiction (27 April 2006) para. 25.

¹³⁰ The mutual consent takes place only *after* the dispute has arisen. It was said that this 'contract' lacks privity between the host State and an individual foreign investor as the offer to arbitrate in an IIA is extended to all foreign investors: J. Paulsson, 'Arbitration without Privity' (1995) 10 *ICSID Review – Foreign Investment Law Journal* 232.

¹³¹ See J. Pohl, K. Mashigo and A. Nohen, 'Dispute Settlement Provisions in International Investment Agreements: A Large Sample Survey' (OECD Publishing 2012).

¹³² This includes cases of contract-based relationships between the foreign investor and State, which have come under the protection of an IIA (due, for example, to the umbrella clause).

ITA takes place and to indicate relevant systemic issues, rather than being exhaustive.

1.3.1 Access to ISDS: 'Investment' and 'Investor'

International investment agreements allow for a broad scope of claims that can be subject to investment arbitration, sometimes expressly defining the scope of disputes to breaches of substantive protections under the treaty,¹³³ and linking the claim to the loss or damage caused to the investor by the breach.¹³⁴ The disputed investment must be within the definition of 'investment' provided in the IIA, which is usually set out in broad terms, and sufficiently broad to include both direct and non-direct types of foreign investment (portfolio investment).¹³⁵ In some cases, the scope of investment disputes can be limited by the scope of the treaty in question,¹³⁶ or IIAs can expressly limit the scope of ISDS clauses in regard to the subject matter of claims.¹³⁷ The German Model BIT and EU investment agreements, unlike the US Model BIT, limit the jurisdiction of arbitral tribunals to breaches of substantive protections in regard to *established* investments, thus excluding the pre-establishment phase of investment from the scope of ISDS clauses. The USMCA is an exception from the previous US practice, which now provides for limited ISDS in the post-establishment phase.¹³⁸

Under the ICSID Convention, for a dispute to fall within the ICSID jurisdiction, the dispute must be 'legal' and 'arising directly out of an investment', which is decided on the facts of each particular case.¹³⁹ The definition of 'investment' in the particular IIA and the views of the

¹³³ For example, Art. 26(1) ECT, Arts. 24(1)(a)(i)(A) and 24(1)(b)(i)(A) US Model BIT 2012; Art. 3.1.1 EUSIPA. The US BITs also include investment authorisation and investment contracts: US Model BIT 2012 Arts. 24(1)(a)(i)(B), 24(1)(b)(i)(B), 24(1)(a)(i)(C) and 24(1)(b)(i)(C) respectively.

¹³⁴ For example, Arts. 24(1)(a)(ii) and 24(1)(b)(ii) US Model BIT 2012; Art. 3.1.1 EUSIPA; Art. 8.18.1 CETA.

¹³⁵ See Art. 1(1) German Model BIT 2008); Art. 1(6) ECT; Art. 1 US Model BIT 2012); Art. 1.2 EUSIPA. The general definition usually includes a list of illustrative but non-exclusive categories of investments.

¹³⁶ For example, the ECT is limited to energy sector related disputes: Arts. 1(6) and 2 ECT.

¹³⁷ For example, Art. 14.D.3(1) USMCA limits ISDS to direct expropriation and discrimination (breaches of NT and MFN) in the post-establishment phase, with the exception of government contracts in the 'covered sectors'.

¹³⁸ See *ibid* Art. 14.D.3(1).

¹³⁹ Art. 25(1) ICSID Convention.

parties on the subject matter of the dispute are not binding or decisive.¹⁴⁰ The ICSID jurisdiction, although widely interpreted, is not available for any kind of activity that parties might regard as an investment if such activity does not fall within the ICSID set of criteria for investment,¹⁴¹ and even if the activity in question is defined as investment under the particular IIA.¹⁴² Latter situations include purely commercial transactions arising out of contracts for international sale of goods,¹⁴³ which could alternatively be submitted to an *ad hoc* United Nations Commission on International Trade Law (UNCITRAL) arbitration if the specific IIA's definition of investment covers these commercial transactions and offers the option of an *ad hoc* arbitration.¹⁴⁴

In essence, the particular set of criteria developed by ICSID tribunals set the objective 'outer limits' of investment beyond which parties' consent is ineffective.¹⁴⁵ They indicate ICSID's public law character, reflected in the ICSID Convention Preamble, which balances 'the need for international cooperation for economic development' and the role that private investment has for that development.¹⁴⁶ However, in light of tribunals' inconsistent jurisprudence, such conclusions cannot be categorical.¹⁴⁷ On the other hand, the UNCITRAL Rules, originally

¹⁴⁰ *Aguas del Tunari, S.A. v Republic of Bolivia*, ICSID Case No. ARB/02/3, Decision on Respondent's Objections to Jurisdiction (21 October 2005) para. 278.

¹⁴¹ Although the ICSID Convention does not define 'investment', ICSID arbitral tribunals have developed an objective definition of investment in their practice, based on a set of criteria, which include: (i) a substantial contribution of money and resources, (ii) a certain duration, (iii) risk and (iv) the contribution to the economic development of the host State: *Salini Costruttori S.p.A. and Italstrade S.p.A. v Kingdom of Morocco*, ICSID Case No. ARB/00/4, Decision on Jurisdiction (31 July 2001) para. 52 (so-called 'Salini test'). The 'Salini test' is often cited as an authority for determining investment under ICSID Convention: see, for example, *Joy Mining Machinery Limited v Arab Republic of Egypt*, ICSID Case No. ARB/03/11, Award on Jurisdiction (6 August 2004) para. 53.

¹⁴² *Joy Mining* (ibid) para. 50.

¹⁴³ *Joy Mining* (n 141) para. 52; *Global Trading Resource Corp. and Globex International, Inc. v Ukraine*, ICSID Case No. ARB/09/11, Award (1 December 2010) paras. 56–57.

¹⁴⁴ The definition of investment in some IIAs expressly excludes claims to money solely from commercial contracts for the sale of goods and services and domestic financing of such contracts: see, for example, Art. 14.1 (j) USMCA; Arts. 8.1(i) and (ii) CETA.

¹⁴⁵ *The Rompetrol Group N.V. v Romania*, ICSID Case No. ARB/06/3, Decision on Jurisdiction and Admissibility (18 April 2008) para. 80.

¹⁴⁶ ICSID Convention, Preamble and *Salini* (n 141) para. 52.

¹⁴⁷ Some ICSID decisions have rejected the contribution to the development of the host State as an element of the objective definition of investment: see *Quiborax S.A., Non Metallic Minerals S.A. and Allan Fosk Kaplún v Plurinational State of Bolivia*, ICSID Case No. ARB/06/2, Decision on Jurisdiction (27 September 2012) paras. 219–225.

intended and commonly involved in international commercial arbitration, reflect the principle of freedom of contract of private parties, whereby any kind of asset, even a “pure” one-off sales contract’ may constitute an investment if such was the intention of the parties.¹⁴⁸ Additionally, UNCITRAL tribunals in their approach to investment also reflect the commercial character of investment, which does not necessarily involve any element of contribution to the economic development of the host State.¹⁴⁹ This leads to two observations.

First, different approaches to the characterisation of investment reflect conceptual differences that underpin the international regulation of investments. If IIL serves to promote economic liberalisation and the free flow of capital, any kind of activity, even that for purely private commercial purposes, should be regarded as investment. However, if IIL primarily seeks to facilitate global economic cooperation and development through special protections given to foreign investment, recognition should be given to genuine investments, which necessarily also have a potential to contribute to the economic development of the host State. In the latter case, the need to balance private interests of foreign investors and public interests of host States would be an essential principle.

Second, the difference in tribunals’ approaches to the characterisation of investment also reflects the need for a more consistent doctrinal development of IIL, as opposed to the currently prevailing fragmented approach in which the doctrine is used according to the needs of a particular case. In this context, the difference reflects divergent doctrinal approaches to the characterisation of ICSID within IIL. If ICSID is procedurally an autonomous system, it necessarily supersedes party autonomy reflected in the particular IIAs. However, if the question of

Others have emphasised the need to take into account the definition of investment in particular IIA even if all of the *Salini* criteria are not satisfied: see *Biwater Gauff (Tanzania) Ltd. v United Republic of Tanzania*, ICSID Case No. ARB/05/22, Award (24 July 2008) para. 314–318; *Malaysian Historical Salvors, SDN, BHD v The Government of Malaysia*, ICSID Case No. ARB/05/10, Decision on the Application for Annulment (16 April 2009) para. 80; *RREEF Infrastructure (G.P.) Limited and RREEF Pan-European Infrastructure Two Lux S.à r.l. v Kingdom of Spain*, ICSID Case No. ARB/13/30, Decision on Jurisdiction (6 June 2016) para. 158.

¹⁴⁸ Such intention must be undoubtedly ascertained from the particular IIA: *Romak S.A. (Switzerland) v The Republic of Uzbekistan*, UNCITRAL, PCA Case No. AA280, Award (26 November 2009) para. 205. Similarly, see *Vacuum Salt Products Ltd. v Republic of Ghana*, ICSID Case No. ARB/92/1, Award (16 February 1994) fn 14 on p. 90.

¹⁴⁹ To that effect, see *Romak* (ibid) para. 207.

the autonomy of ICSID is answered in the negative, a particular IIA would be given preference as *lex specialis*. Accordingly, the definition of investment in a particular IIA would supersede the *lex generalis* ICSID provision on investment.

Similar to the definition of investment, foreign investors must meet the requirements of a particular IIA and the ICSID Convention in order to bring a claim to an ICSID tribunal. Under IIAs the definition of ‘investor’ usually includes natural and legal persons, which must have the nationality of one of the Contracting Parties to the IIA; the requirements of nationality are determined with reference to the law of the Contracting Party whose nationality is claimed.¹⁵⁰ The ICSID Convention requires that the investor must be a national of a Contracting State,¹⁵¹ which includes both ‘natural’ and ‘juridical’ persons with ‘the nationality of a Contracting State other than the State party to the dispute’.¹⁵² The requirement of nationality in regard to natural persons is arguably easier to establish¹⁵³ and the nationality of legal persons is more controversial. Especially contentious is the criterion for establishing the link between a legal person submitting a claim under an IIA and the Contracting State to that IIA.

IIAs use objective criteria to determine the nationality of a legal person,¹⁵⁴ usually combining: the place of incorporation as the place where the legal person is constituted or organised in accordance with the laws of the country,¹⁵⁵ the place of the seat of the corporation (with

¹⁵⁰ For example, Art. 1(7)(a) ECT; Art. 1(3) German BIT 2008; Art. 1 US Model BIT 2012; Art. 1.2.3 EUSIPA; Art. 8.1 CETA.

¹⁵¹ Art. 25(1) ICSID Convention.

¹⁵² *ibid* Art. 25(2).

¹⁵³ The requirement is formal and does not apply a test of dominant or effective nationality: *Ioan Micula, Viorel Micula, S.C. European Food S.A., S.C. Starmill S.R.L. and S.C. Multipack S.R.L. v Romania*, ICSID Case No. ARB/05/20, Decision on Jurisdiction and Admissibility (24 September 2008) para. 100.

¹⁵⁴ In this respect, IIAs cover a range of different legal entities: with or without legal personality (the definition of juridical person under Art. 1(3)(a) German Model BIT 2008); for profit or non-profit (Art. 1(3)(a) German Model BIT 2008; Art. 1 US Model BIT 2012), privately or government owned (definition of an enterprise under Art. 1 US Model BIT 2012, which has a non-exhaustive list of entities considered to be enterprises); including (US Model BIT 2012) or excluding a branch (Art. 8.1 CETA, also expressly excluding a representative office).

¹⁵⁵ Most IIAs use this criterion. For example, Art. 1(7)(a)(ii) ECT; Art. 1.2.5 EUSIPA; Art. 1 US Model BIT 2012.

respect to the effective management of the legal person) and less frequently the criterion of the State which controls the operations of the legal person.¹⁵⁶ The German Model BIT 2008 abandons the earlier prevailing criterion of the seat and adopts, in line with its domestic and EU law, the principle of constitution and incorporation, recognising also the EU freedom of establishment under TFEU Articles 49 and 54.¹⁵⁷ Unlike the US Model BIT, the German BIT does not require that the legal person must have substantial business activity in the host State through its denial of benefits clause.¹⁵⁸

Under CIL a subsidiary has the nationality of the host State,¹⁵⁹ so the ICSID Convention in its definition of a juridical person in Article 25(1) allows a local subsidiary under the control of a foreign person to be granted ICSID jurisdiction, if the host State agrees, expressly or impliedly, to treat the subsidiary as a foreign national. However, tribunals have approached the foreign control test differently in cases where the host State treats a subsidiary as a foreign national. Some have argued that the criteria are objectively determined to restrict the jurisdiction of ICSID tribunals to cases of real control, regardless of parties' intent.¹⁶⁰ Others have decided in favour of extending this jurisdiction by challenging the inference of jurisdictional restrictions in the text of the ICSID Convention.¹⁶¹ In its essence, this dilemma reflects the dilemma discussed above about the jurisdictional autonomy of the ICSID in the determination of whether the dispute concerns 'investment'.

¹⁵⁶ There are also examples of IIAs which incorporate all criteria: see definition of 'enterprise of a Party' in Art. 8.1 CETA.

¹⁵⁷ Art. 1(3)(a) German Model BIT 2008. EUSIPA also contains reference to Art. 54 TFEU in defining the concept of 'substantive business operations': Art. 1.2(5) fn 2. On freedom of establishment, see Section 4.5.1 in Chapter 4.

¹⁵⁸ Art. 17 US Model BIT 2012. Similarly, Art. 17 ECT.

¹⁵⁹ *Barcelona Traction Case, Light and Power Company Limited, Case concerning (New Application, 1962) (Belgium v Spain)* (Second Phase) [1970] ICJ Rep 3.

¹⁶⁰ *Vacuum Salt Products* (n 148) para. 36. See also *TSA Spectrum de Argentina S.A. v Argentine Republic*, ICSID Case No. ARB/05/5, Award (19 December 2008) paras. 152–153.

¹⁶¹ *Tokios Tokelės v Ukraine*, ICSID Case No. ARB/02/18, Decision on Jurisdiction (29 April 2004) para. 46, also referring to cases *Wena Hotels Ltd. v Arab Republic of Egypt*, ICSID Case No. ARB/98/4, Summary Minutes of the Session of the Tribunal held in Paris (25 May 1999) and *Autopista Concesionada de Venezuela, C.A. v Bolivarian Republic of Venezuela*, ICSID Case No. ARB/00/5, Decision on Jurisdiction (27 September 2001) paras. 110–114. Also *The Rompetrol Group* (n 145) para. 93.

1.3.2 'Shopping' in Investment Treaty Arbitration

Definitions of investors in IIAs, which in most cases focus on the formal nationality criteria of incorporation in accordance with local laws, and arbitral tribunals' interpretations of such definitions, allow for the practice of *treaty shopping*. This involves investors structuring investments through intermediate holding companies in order to take advantage of a particular IIA which otherwise would not have been available to these investors. Treaty shopping can take place in several ways, which include:¹⁶² structuring an investment in the host State (subsidiary) through an intermediate company established in the home State by an investor (parent company) from a third country;¹⁶³ structuring an investment in the host State (subsidiary) through an intermediate company in the home State, which is effectively owned and controlled by an investor (parent company) from the host State;¹⁶⁴ and structuring an investment in the host State (subsidiary) through an intermediate company in a third country which is owned by an investor (parent company) from the home State.¹⁶⁵ The practice of treaty shopping can further be encouraged through broadly worded MFN clauses.¹⁶⁶

While treaty shopping disregards the origin of capital when determining the nationality of the claimant,¹⁶⁷ and thus supports the neoliberal vision of flow of capital, it raises a number of policy issues.¹⁶⁸ In particular, the concerns include uncertainty of host States about the extent of their legal obligations under IIAs, because a particular IIA, instead of being a treaty with a particular Contracting Party becomes in practice a treaty with an undefined number of non-Contracting Parties. Additionally, treaty shopping opens doors for domestic investors to access investment arbitration, which otherwise would not be available

¹⁶² For detailed analysis, see UNCTAD, 'Scope and Definition (A sequel) – UNCTAD Series on Issues in International Investment Agreements II' (2011), UNCTAD/DIAE/IA/2010/2, 86–92.

¹⁶³ For example, *ADC v Hungary* (n 44) paras. 352–362.

¹⁶⁴ *Tokios Tokelés* (n 161) para. 52.

¹⁶⁵ *Waste Management* (n 85) para. 80–85.

¹⁶⁶ See Section 1.2.3.

¹⁶⁷ *Tokios Tokelés* (n 161) paras. 80–81. See the Dissenting Opinion of Professor Weil, who considered such an approach to be contrary to the object and purpose of the ICSID Convention: Dissenting Opinion (Chairman Professor Weil) (29 April 2004) paras. 19–20.

¹⁶⁸ D. Gaukrodger and K. Gordon, 'Investor–State Dispute Settlement: A Scoping Paper for the Investment Policy Community' (OECD Publishing 2012) 56–57.

to them, thus effectively undermining the purpose of IIAs.¹⁶⁹ In order to distinguish ‘legitimate’ recourse to international arbitration from ‘illegitimate’ which constitutes abuse of rights, tribunals engage in analysis of all the circumstances of a particular case, including the timing of the investment and of the claim, the substance of the transaction, the true nature of the operation and the degree of foreseeability of the governmental action at the time of restructuring.¹⁷⁰ However, in light of broader policy concerns, treaty shopping beyond cases which bluntly include shell companies should also be addressed. Treaty regimes for claims by shareholders for reflective loss, which are usually available under typical BITs but unavailable under domestic corporate law, have attracted insufficient attention in policy discussions.¹⁷¹

In addition to treaty shopping, the heterogeneity of dispute settlement options and applicable substantive and procedural rules, which can lead to different outcomes, creates an incentive for *forum shopping*.¹⁷² In most cases, access to international arbitration is provided in addition to domestic judicial review proceedings, with States adopting different approaches in coordinating such access. Some IIAs give investors a choice between domestic or international fora; this choice can be final

¹⁶⁹ *ibid.*

¹⁷⁰ *Transglobal Green Energy, LLC and Transglobal Green Energy de Panama, S.A. v The Republic of Panama*, ICSID Case No. ARB/13/28, Award (2 June 2016) para. 103. *Philip Morris Asia Limited v The Commonwealth of Australia*, UNCITRAL, PCA Case No. 2012-12, Award on Jurisdiction and Admissibility (17 December 2015) para. 540; *Tidewater Inc., Tidewater Investment SRL, Tidewater Caribe, C.A., et al. v The Bolivarian Republic of Venezuela*, ICSID Case No. ARB/10/5, Decision on Jurisdiction (8 February 2013) paras. 145–146, 184; *Pac Rim Cayman LLC v Republic of El Salvador*, ICSID Case No. ARB/09/12, Decision on Respondent’s Jurisdictional Objections (1 June 2012) para. 2.99.

¹⁷¹ See D. Gaukrodger, ‘Investment Treaties as Corporate Law: Shareholder Claims and Issues of Consistency’ (OECD Publishing 2013) and ‘Investment Treaties and Shareholder Claims: Analysis of Treaty Practice’ (OECD Publishing 2014). For shareholders’ claims under CETA, see Section 8.2.1.1 in Chapter 8.

¹⁷² See, for example, *Vattenfall II* case in which the Swedish investor in Germany challenged the constitutionality of the legislation phasing out nuclear energy before German courts, while also bringing a claim against Germany before the ICSID for financial compensation for the breaches of investor’s rights under the ECT: BVerfG, *The Vattenfall Case*, Judgment of the First Senate of 6 December 2016, 1 BvR 2821/11; *Vattenfall AB and others v Federal Republic of Germany (II)*, ICSID Case No. ARB/12/12. For analysis of this case under domestic, EU and international law, see I. Damjanovic and O. Quirico, ‘Intra-EU Investment Dispute Settlement in Light of *Vattenfall* and *Achmea*: A Matter of Priority’ (2019) 26 *Columbia Journal of European Law* 102.

and exclusive by inclusion of a fork-in-the-road provision.¹⁷³ In some cases, waiver of domestic remedies,¹⁷⁴ or more recently, exhaustion of local remedies,¹⁷⁵ is a condition precedent to bringing a case to international arbitration. The aim of these provisions is to disallow parallel proceedings. The new generation of EU IIAs contain more detailed provisions, which disallow parallel proceedings¹⁷⁶ but allow return to domestic proceedings after investment arbitration in certain circumstances.¹⁷⁷ In many cases, the possibility of multiple proceedings will depend on the wording of the particular IIA but also on the arbitral tribunals' characterisation of the dispute.¹⁷⁸

Forum shopping is also encouraged by umbrella clauses, found in some IIAs such as German Model BIT, which may bring under the protection of the IIA 'any other obligations' between the foreign investor and the host State. This can include contractual obligations, such as concession contracts, and unilateral commitments of the host State regarding investments in its territory.¹⁷⁹ These clauses have potential to extend the jurisdiction *ratione materiae* of international investment arbitration to commercial breaches of contract committed at the level of domestic law in the State's function as a merchant.¹⁸⁰ They may encourage the claimant to bring the same claim under domestic law, through a dispute settlement mechanism envisaged in the contract for breach of contractual obligation, and under international law, through a dispute settlement mechanism in the particular IIA for breach of treaty

¹⁷³ See C. Schreuer, 'Travelling the BIT Route of Waiting Periods, Umbrella Clauses and Forks in the Road' (2004) 5 *The Journal of World Investment and Trade* 231, 239–249.

¹⁷⁴ See Art. 26(2)(b) US Model BIT 2012.

¹⁷⁵ Art. 5, Annex 14-D USMCA; Art. 15 Indian Model BIT 2016.

¹⁷⁶ Arts. 8.22.1(f) and (g) CETA; Art. 3.7(f) EUSIPA.

¹⁷⁷ Art. 8.22.5 CETA.

¹⁷⁸ In arbitral jurisprudence, the triple identity test (the same parties, the same object and the same cause of action) has been developed when determining whether the claims in the domestic proceedings are the same as those in the international proceedings. See for example, *CMS Gas Transmission Company v The Republic of Argentina*, ICSID Case No. ARB/01/8, Decision of the Tribunal on Objections to Jurisdiction (17 July 2003) para. 80; *H&H Enterprises Investments, Inc. v Arab Republic of Egypt*, ICSID Case No. ARB 09/15, Award (6 May 2014) paras. 368–369; *Pantechniki S.A. Contractors & Engineers (Greece) v The Republic of Albania*, ICSID Case No. ARB/07/21, Award (30 July 2009) para. 67.

¹⁷⁹ Art. 7(2) German Model BIT 2008.

¹⁸⁰ *SGS Société Générale de Surveillance S.A. v Republic of the Philippines*, Decision of the Tribunal on Objections to Jurisdiction (29 January 2004) paras. 127–128. Cf. *SGS Société Générale de Surveillance S.A. v Islamic Republic of Pakistan*, ICSID Case No. ARB/01/13, Decision of the Tribunal on Objections to Jurisdiction (6 August 2003).

obligation.¹⁸¹ Accordingly, the same set of facts can give rise to different causes of action before different dispute settlement bodies. The controversy created by arbitral tribunals' inconsistent interpretation of this clause has led to the tendency to eliminate these clauses in the new generation of IIAs;¹⁸² however, they are still present in around 40 per cent of IIAs.¹⁸³

International investment agreements also offer to foreign investors the choice of an international forum.¹⁸⁴ The issue of forum shopping becomes particularly problematic when competing forums have strong incentives to retain their jurisdiction, which is more prevalent for international investment forums than for domestic courts.¹⁸⁵ Unlike domestic courts, arbitral tribunals are not permanent; they are constituted for the particular investment dispute, under the auspices of an arbitration administering institution or as *ad hoc* tribunals. The arbitration rules of the chosen forum govern arbitration, unless the applicable IIA has specific procedural provisions which then apply as *lex specialis*.¹⁸⁶ In most cases, IIAs do not have particularly detailed rules and therefore issues such as the appointment of arbitrators, applicable law, allocation of costs, transparency and remedies are addressed in detail in arbitration rules.

The ICSID and UNCITRAL, as the most prominent sets of arbitration rules,¹⁸⁷ have their advantages but they are also prone to specific

¹⁸¹ The Tribunal in *SGS v Pakistan* found that the contractual obligation did not elevate to a treaty obligation; however, it found that it had jurisdiction for BIT breaches arising from the same host State's conduct: paras. 185–189.

¹⁸² P. Pereire de Souza Fleury, 'Umbrella Clauses: A Trend towards Its Elimination' (2015) 31 *Arbitration International* 679. For example, CETA has no umbrella clause. EUSIPA limits the scope of the umbrella clause: Art. 2.4.6 EUSIPA. Unlike NAFTA, USMCA contains an umbrella clause for 'covered government contracts', which may give rise to treaty arbitration under Annex 14-D.

¹⁸³ UNCTAD, 'Mapping of IIA Project' (*Investment Policy Hub*).

¹⁸⁴ Art. 24(3) US Model BIT 2012; Art. 26(4) ECT; CETA, as it moves from the traditional ISDS model, leaves the parties the choice of rules instead of the choice of forum: Art. 8.23.2. Similarly see Art. 3.6 EUSIPA.

¹⁸⁵ See G. Van Harten, 'Pro-Investor or Pro-State Bias in Investment-Treaty Arbitration? Forthcoming Study Gives Cause for Concern' (2012) *Editorials and Commentaries* 136. See also Section 3.2 in Chapter 3.

¹⁸⁶ Art. 24(5) US Model BIT 2012.

¹⁸⁷ For comparison of ICSID and UNCITRAL Rules, see A. Hyder Ali and others, *The International Arbitration Rulebook: A Guide to Arbitral Regimes* (Kluwer 2019). ICSID Rules have been amended four times, with most recent amendments entering into force on 1 July 2022. UNCITRAL Arbitration Rules, approved in 1976 and updated in 2010,

criticisms. The ICSID has been criticised for its close connections with the World Bank and the United States, and for generally favouring the role of foreign investors through its loans programme by making loans conditional on structural adjustments imposed on governments.¹⁸⁸ United Nations Commission on International Trade Law is prone to criticism for the ‘privatisation’ of disputes that involve States and significant public interest.¹⁸⁹ The lack of a coordinating mechanism between different international arbitral proceedings can lead to parallel proceedings stemming from the same investment event being pursued under different BITs.¹⁹⁰

1.3.3 *The Tip of the Iceberg: Arbitration as a Dispute Resolution Method*

The non-permanent arbitration panel format and arbitrators who sit on these panels are among the most contentious elements of the ISDS regime.¹⁹¹ In practice, law firms that represent the parties propose to their clients potential arbitrators, effectively giving law firms that specialise in international investment arbitration considerable influence over people who sit on arbitration panels. The mechanism currently in place does not include appellate proceedings, which would allow for corrections of errors of law and/or fact and consistency with arbitral jurisprudence.¹⁹²

were further amended in 2013 to include UNCITRAL Rules on Transparency and in 2021 to incorporate Expedited Arbitration Rules.

¹⁸⁸ This criticism is voiced particularly strongly by Latin American countries. See S. K. Fiezzoni, ‘The Challenge of UNASUR Member Countries to Replace ICSID Arbitration’ (2011) 2 *Beijing Law Review* 134.

¹⁸⁹ G. Sacerdoti, ‘Investment Arbitration under ICSID and UNCITRAL Rules: Prerequisites, Applicable Law, Review of Awards’ (2004) 19 *ICSID Review – Foreign Investment Law Journal* 1, 47.

¹⁹⁰ See *Ronald S. Lauder v The Czech Republic*, UNCITRAL, Final Award (3 September 2001) and *CME Czech Republic B.V. v The Czech Republic*, UNCITRAL, Final Award (14 March 2003).

¹⁹¹ C. A. Rogers, ‘The Politics of International Investment Arbitrators’ (2013) 12 *Santa Clara International Law Review* 223, 226–228.

¹⁹² In this respect CETA departs from the old system by creating an Appellate Tribunal: Art. 8.28 CETA. Some more recent IIAs leave the possibility of introducing an appeal through a future multilateral appellate mechanism: see, for example, Art. 28 US Model BIT 2012; Art. 9.23(11) CPTPP. There is no reference to appellate mechanism in the USMCA.

With parties actively participating in the process of selection, the impartiality of arbitrators remains questionable as some empirical studies indicate that arbitrators might be inclined to render compromised judgments which maximise their chances to be selected for future disputes.¹⁹³ In this way, arbitrators become party advocates within the system that expects their objectivity.¹⁹⁴ Moreover, revolving-door practice, with an established practice of ‘double hatting’ and the exchange of different roles (arbitrators, counsels, expert witnesses, tribunal secretaries) between a very small pool of ‘power broker’ investment lawyers is common.¹⁹⁵ Legal rules on the appointment of arbitrators, their qualifications and conflict of interest serve to eliminate these biases, but they fail to address the perceptions of systemic bias.¹⁹⁶

1.4 Conclusion

Looking at the past, the development of IIR can be described as a one-way street. It was a mechanism developed by the need to protect the interests of the capital-exporting countries in their capital-importing counterparts. In the beginning it was the relationship between colonisers and the either *de iure* or *de facto* colonised, which in the period after decolonisation metamorphosed into the relationship between developed and developing countries. The States, not fully aware of the real economic, political and legal implications, were the main players in the development of instruments of IIL, acting individually rather than collectively.

In the meantime, the one-way street has turned into a road with many directions. In the multipolar economic order, the clear differentiation between capital-exporting and capital-importing States has disappeared. The power has diversified between economically powerful States acting

¹⁹³ J. Dammann and H. Hansmann, ‘Globalising Commercial Litigation’ (2008) 94 *Cornell Law Review* 1, 34–35.

¹⁹⁴ H. Smit, ‘The Pernicious Institution of the Party-Appointed Arbitrator’ (2010) 33 *Columbia FDI Perspectives*.

¹⁹⁵ M. Langford, D. Behn, and R. Hilleren Lie, ‘The Revolving Door in International Investment Arbitration’ (2017) 20 *Journal of International Economic Law* 301.

¹⁹⁶ The ICSID Convention prescribes competence for arbitrators in Art. 14(1) and warrants disqualification on the basis of Art. 57. See also amended ICSID Arbitration Rules 22 and 23, and UNCITRAL Rules 6–12. These rules are less strict compared to the requirements of judicial independence: see Chapters 3 and 9. A comprehensive Code of Conduct for adjudicators is envisaged as part of the UNCITRAL ISDS reform: see Chapter 10.

alone and others formed in different regional economic interest blocks or supranational entities. Transnational private capital interests have diversified from the interests of their home States. Regulation of investment, domestically and internationally, has been shaped by investment claims and jurisprudence emanating from arbitral tribunals. The global economic world order has introduced 'transnational' players into the arena: multinational enterprises (MNEs), legal practitioners, arbitrators, academics, civil society. All of them, one way or another, participate in defining the – modern, global and 'managerial' – international investment governance.¹⁹⁷

¹⁹⁷ Koskenniemi (n 28) 324.